

Performance Management Policy

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Owner: People Operations

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1. Purpose and Scope

This policy defines how Acme Corp sets expectations, evaluates performance, develops employees, and makes decisions about promotions and continued employment. It applies to all regular full-time and part-time employees.

Performance management at Acme Corp is an ongoing process — not a once-a-year event. Managers are accountable for coaching continuously and employees are accountable for seeking clarity on expectations.

> Related policies: Workplace Conduct & Disciplinary Process (POL-WPC-009 §11), Compensation Reviews (POL-CMP-012 §4), Learning & Development (POL-LND-013).

2. Performance Cycle

2.1 Annual Cadence

The performance year runs January 1 – December 31. The formal review cycle has two touchpoints:

| Event | Timing | Participants | Output |

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| Goal-Setting | January (new cycle) | Employee + Manager | Agreed OKRs/goals documented in Workday |

| Mid-Year Check-In | July | Employee + Manager | Progress assessment, goal adjustments |

| Annual Review | November–December | Employee + Manager + Calibration panel | Performance rating, development plan |

2.2 New Hire Reviews

Employees hired after July 1st receive a 90-Day Check-In (see POL-ONB-006 §7.1) in lieu of a mid-year check-in and participate in the annual review only if they have been employed for at least 6 months by November 1st. Those hired after November 1st are excluded from the current year's formal rating cycle.

3. Goal-Setting

3.1 Framework

Acme Corp uses OKRs (Objectives and Key Results) as the standard goal-setting framework. Each employee sets 2–4 objectives per performance year, each with 2–4 measurable key results.

Goals must be:

- Aligned to team and company-level OKRs
- Specific and measurable — key results must have a quantifiable target
- Challenging but achievable — stretch is expected; goals that are trivially achievable are not acceptable
- Documented in Workday within the first 3 weeks of January

3.2 Mid-Year Goal Adjustments

Goals may be revised at mid-year with mutual manager–employee agreement if business priorities have materially shifted. Revisions must be documented in Workday and may not retroactively lower already-achieved targets.

4. Performance Ratings

4.1 Rating Scale

Annual reviews use a 5-point rating scale:

Rating	Label	Description
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5	Exceptional	Consistently far exceeded all goals; delivered impact well beyond role scope; a model for peers
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4	Exceeds Expectations	Exceeded most goals; demonstrated strong impact and growth
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3	Meets Expectations	Met all or nearly all goals; performed solidly within role expectations
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| 2 | Partially Meets | Met some goals but fell short in meaningful areas; improvement needed |
| 1 | Does Not Meet | Failed to meet core expectations; immediate improvement plan required |

Ratings are informed by goal attainment, behavioral demonstration of company values, and role-level expectations, not solely numeric metrics.

4.2 Rating Distribution

Acme Corp does not enforce a forced distribution or stack ranking. Ratings must reflect actual performance. Managers are expected to differentiate meaningfully; consistently rating all direct reports at 3 without justification is subject to manager calibration challenge.

5. Calibration

5.1 Purpose

Calibration sessions are held each December before final ratings are shared with employees. Their purpose is to:

- Ensure consistency and fairness in ratings across teams
- Surface and correct potential bias
- Identify high performers for recognition and succession planning
- Confirm employees who need performance support

5.2 Process

- Each manager presents proposed ratings and evidence for each direct report.
- A cross-functional calibration panel (HR Business Partner + department VPs) reviews, challenges, and approves final ratings.
- Ratings may be adjusted up or down during calibration. Managers are informed of changes before communicating to employees.
- Calibration discussions are strictly confidential.

5.3 Bias Mitigation

Calibrators are trained to watch for and challenge common performance rating biases, including recency bias, halo/horn effects, affinity bias, and proximity bias (which may disadvantage remote employees).

6. Performance Review Conversations

6.1 Delivery Timeline

Annual ratings and written feedback must be delivered to employees by January 15th of the following year. Managers who miss this deadline must explain the delay to their HR Business Partner.

6.2 Written Feedback

Every annual review must include a written assessment addressing:

- Goal achievement with specific evidence
- Strengths demonstrated in the current year
- Development areas for the coming year
- An overall narrative summary

Written feedback must be completed in Workday before the review conversation. Verbal-only reviews without a written record are not accepted.

6.3 Employee Self-Assessment

Employees complete a self-assessment in Workday before their manager writes the review. Managers must read the self-assessment before writing their own evaluation. The self-assessment is included in the employee's performance record.

6.4 Upward Feedback

All employees rate their direct manager using a standardized upward feedback survey in November. Results are aggregated and shared with the manager's skip-level manager as part of calibration; individual responses are anonymized.

7. Performance Improvement Plans (PIPs)

7.1 Purpose and Scope

A Performance Improvement Plan is a formal, time-bound structured plan used when an employee is consistently performing below expectations (rating of 1 or 2) and informal coaching has not produced sufficient improvement. A PIP is not punitive by design; it is intended to give the employee a clear, documented path to success.

7.2 PIP Initiation

PIPs require:

- Manager documentation of prior informal coaching conversations (with dates)
- HR Business Partner review and approval before presenting to the employee
- A written PIP document specifying: specific performance gaps, measurable targets, timeline, support resources, and consequences of non-improvement

7.3 PIP Structure

| Component | Detail |

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| Duration | Typically 30, 60, or 90 days depending on the severity and nature of the gap |

| Check-ins | Minimum weekly manager–employee 1:1 during the PIP period |

| Milestones | Defined measurable checkpoints at the midpoint and end of the PIP |

| Support | Manager must identify specific coaching, training, or resources to support improvement |

| Documentation | All check-ins and milestone assessments documented in writing and stored in Workday |

7.4 PIP Outcomes

At the conclusion of the PIP period:

- Successful: Employee demonstrates sustained improvement. PIP is closed. A note that PIP was completed successfully is made in the personnel file.
- Unsuccessful: If performance targets are not met, the manager and HR Business Partner review next steps, which may include an extended PIP, a role change, or separation. Separation decisions follow the process in POL-WPC-009 §11.

7.5 PIP and Eligibility Restrictions

Employees on an active PIP are not eligible for:

- Promotion or lateral transfer requests initiated by the employee
- Remote work arrangement approval (see POL-RW-001 §2.2)
- Participation in the referral bonus program (see POL-REC-016 §7)

8. Promotion Process

8.1 Promotion Philosophy

Promotions at Acme Corp are based on demonstrated sustained performance at the next level, not tenure. Employees should be performing substantially at the next level before a promotion is approved — not promoted with the expectation that they will grow into the role.

8.2 Eligibility Requirements

To be considered for promotion, employees must:

- Have been in their current role for a minimum of 12 months (exceptions require VP approval)
- Hold a current performance rating of 4 or 5
- Not be on an active or recently closed PIP (within 12 months)
- Have documented evidence of performing at the next level for at least one review cycle

8.3 Promotion Approval Process

1. Manager submits a promotion recommendation in Workday with a written justification and evidence package.
2. HR Business Partner reviews for role leveling consistency and compensation band alignment (see POL-CMP-012 §3).
3. Department VP approves.
4. People Operations confirms the effective date and coordinates compensation adjustment.

Promotion decisions are finalized during the annual calibration cycle or, for mid-cycle promotions, with VP + HR approval.

8.4 Communication

Promotion decisions are communicated to the employee by their manager before any announcement. Compensation changes tied to promotions are effective on the first day of the following month after approval.

9. Manager Responsibilities

Managers are accountable for:

- Setting clear, written goals for each direct report by January 31st
- Providing substantive, continuous feedback — not saving all feedback for the annual review
- Completing all review documentation by required deadlines
- Participating actively in calibration
- Initiating a PIP when performance concerns are not resolved through informal coaching within 60 days

People managers are evaluated on their effectiveness as people leaders as part of their own annual review, with upward feedback data as an explicit input.

10. Contact and Questions

- HR Business Partner for review process guidance and PIP initiation
- People Operations: people-ops@acmecorp.com
- Workday (performance module): hr.acmecorp.internal